S&P Capital IQ

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Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A

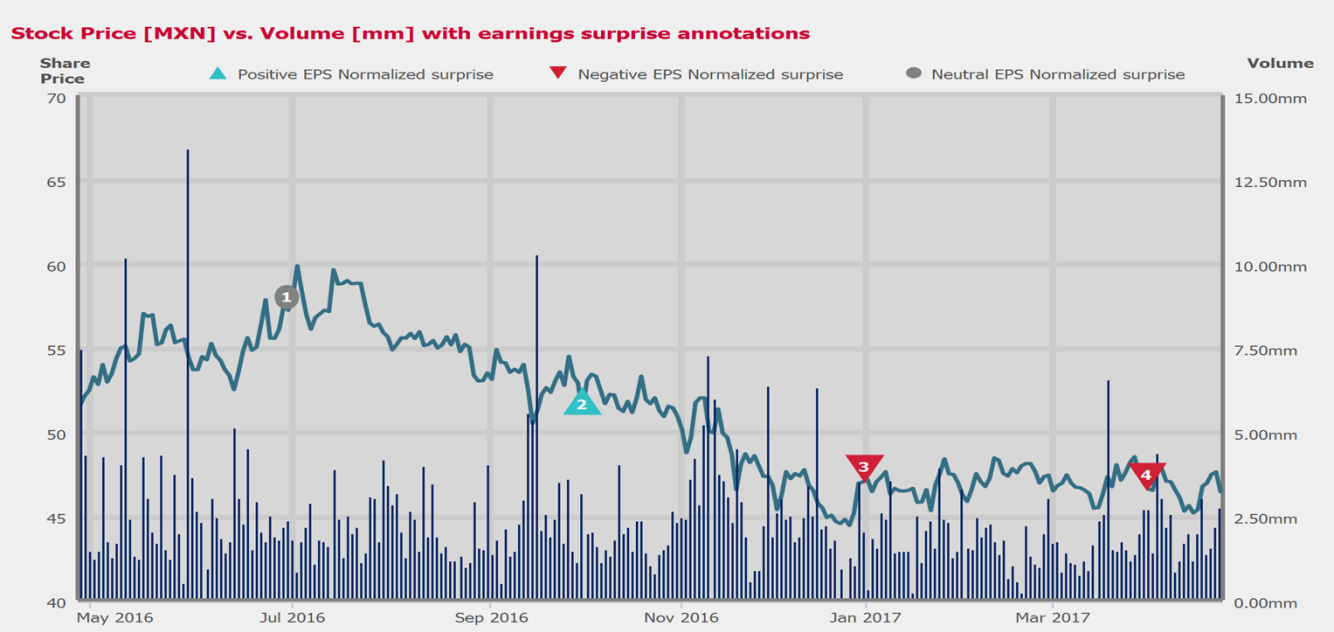
FQ3 2017 Earnings Call Transcripts

Friday, October 27, 2017 3:00 PM GMT

S&P Capital IQ Estimates

	-FQ2 2017-	-FQ3 2017-	-FY 2017-	-FY 2018-
	CONSENSUS	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.40	0.47	1.60	2.12
Revenue (mm)	66684.81	64889.30	265208.83	281267.13

Currency: MXN
Consensus as of Oct-27-2017 11:47 AM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ2 2016	0.41	0.41	1 0.00 %
FQ3 2016	0.50	0.51	2 2.00 %
FQ4 2016	0.44	0.04	3 (90.91 %)
FQ1 2017	0.33	0.21	4 (36.36 %)

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Presentation

Operator

Good morning, everyone and welcome to Grupo Bimbo's Third Quarter 2017 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you, Gary. Good morning, and thank you all for joining us. I am here with our CFO, Diego Gaxiola; our BBU President, Fred Penny; and several members of our finance team.

Before talking about our results, I would like to start by saying that the recent earthquake fear in Mexico further reinforced our sense of responsibility to our associates and communities. The expression [Fuerza Mexico], essentially strength in Mexico, has permeated not just our country but the company as well.

We have always been and will remain fully committed to our associates and communities to support during these difficult times. Nevertheless, we are fortunate that none of our plants or sales centers were materially affected. In fact, the third global energy raise, which took place less than a week after the quake, was postponed in Mexico City and [indiscernible]. For the remainder of our signature global events, we had 100,000 participants in 35 cities in 20 countries worldwide.

Regarding our year-to-date results, sales rose due to continued volume growth in Mexico, our recent acquisitions and, to a lesser extent, FX rate benefit. There were higher raw material costs in Mexico as well as an increase in integration and restructuring expenses in other regions as we continue to invest in varying and growth and profitability. From a short-term perspective, we can see the impact of these investments on the operating and adjusted EBITDA margins, with transactions for both in the period.

Having said that, I will also highlight the strength of our fundamentals in terms of balance sheet health and financial flexibility; progress in advancing our specific objectives; the investments in our associates, platforms and production assets; and the integration of compelling new businesses in high-growth market.

I will now provide some detail on regional performance. In Mexico, sales rose almost 12% over the last year, driven by volume growth, price increases in line with inflation and a better price mix. The sweet baked goods, salty snacks and bread and buns categories outperformed, with pressure on the cookies and bar categories. We experienced growth across all our channels, most notably the [modern] channel, including convenience stores, which continue to perform very well. At the operating level, as we have shared with you before, margins were pressured by increased raw material costs due to hedges we have in place on the higher range of the U.S. dollar. Regardless of these, we were largely able to offset it with savings coming from initiatives like Zero Based Budgeting, resulting in an adjusted EBITDA margin of 17%. We expect this pressure to remain in the coming quarter, but it should gradually lessen over the course of 2018. As you know, our capital expenditures have been aimed at becoming a low-cost producer, and we continue to advance in our plan in this regard as well. Recently, we started the construction in Mexico City of what will become the most efficient distribution center of the company.

Moving on to North America. Cumulative sales rose over 3%, the result of growth at our strategic brands and snacks as well as the better price mix in the U.S., combined with positive volume performance in Canada, organic growth in our newly integrated business and are more focused spend in both countries,

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particularly in this most recent quarter. In fact, despite FX rate pressure, performance this quarter was notable for the region, with dollar-denominated sales growing 1% for the first time in over a year.

The rising sales in the U.S. was driven in part by continued focus on our strategic brands, led by Artesano, Barcel, Little Bites and Entenmann's Mini Cakes. We have gained market share in categories like mainstream bread and sweet baked goods. This helped offset softness in our private label business. At the same time, commodity and energy costs also provided a bit of a tailwind this period, although less than in the first half of the year.

Furthermore, along with our efforts to find opportunities in the marketplace, I would like to share that we acquired Baked Goods, small, refrigerated breakfast bakery goods manufacturer in the U.S. We're excited about it because it comes with a perfect complement to our portfolio, as refrigerated represents a new channel for us for our U.S. business. And for Canada, not only did volumes improve, but so did our dollar market share. And this was particularly notable in the branded portfolio as well as in the tortillas and breakfast categories.

On the operating side for the whole region, we closed 4 plants, 2 in Canada and 2 in the U.S., advancing our objective to have a leaner manufacturing base. In Canada, this is a process we initiated in 2014 after the acquisition when we started with 16 plants. And today, we generate the same volume with 11 plants, and we're continuing with the transformation plan in terms of the ERP and IP platform migration processes. The 2 is near completions. Furthermore, we're redesigning our frozen business to fully leverage our capabilities in a growing category. As a result, adjusted EBITDA margin slightly contracted 10 basis points.

In Latin America, even when last year's figures in group Venezuela fades and this year's figures don't, net sales rose about 1% in Mexican peso terms, reflecting good performance of the Latin Centro division and of the traditional channel and, to a lesser extent, FX rate benefit.

Our operation in Brazil continues to trend positively, gaining market share in key categories. So while volumes are still lower on a year-over-year basis, we're benefiting from a positive price/mix, and the profitability has improved, having registered positive EBITDA in the third quarter as our turnaround plan makes good progress. We also opened a new state-of-the-art, high-speed production lines plant and are certified Columbia this past quarter as we continue to enhance our manufacturing capabilities throughout other regions. As for the operating margin in LatAm, the 90 basis points contraction primarily reflects the deconsolidation of the Venezuela operation as well as higher expenses in Brazil and Argentina that resulted from some workforce restructuring efforts and higher expenses coming from the new plant in Columbia.

Moving on to Europe, Asia and Africa. Sales grew 47% on the back of the acquisitions made over the past year in Iberia, India and Morocco. There were some operational challenges in the region over the past few months. In China, we have to interrupt our operations due to zoning issues, and we're working with the authorities to solve the problem. In the U.K., a temporary matter in one of the production lines of our bagel plant affected sales in the period and generated some extraordinary expenses. And finally, in Iberia, we achieved record market in Portugal and continued our gain of market share in Spain as we continue to increase our reach and strength in all of these countries. For the [indiscernible] region, we registered about MXN 800 million of integration expenses on our community business, most of it for the Donuts Iberia integration. This process is going as planned, and we're confident that we will reach expected synergies and we'll start to see the benefits in the coming year as we expense all the planned costs that we have.

Before I turn the call to Diego, I would like to share with you that at October 16, East Balt Bakeries is officially part of the Grupo Bimbo family. We've created a new internal division called Bimbo QSR, and I'm very excited because it is a dynamic and accretive business for us, complementing our current foodservice business and providing entry into markets with significant growth potential. As for returning purposes, results from this division will be divided market-by-market, with the bulk of it included in the EAA region, and the rest is North America.

I will now have our CFO -- or new CFO, Diego Gaxiola, provide some additional color on our financials.

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Diego Gaxiola

Thank you, Daniel. Let me share a few key points. As you saw in our earnings release, there was a 26% increase in our comprehensive financial result, which mainly reflected the impact of the depreciation of the Bolivar and a higher loss from our net monetary asset position in Venezuela, whereas last year, we had a gain. To a lesser extent, interest expenses also increased as a result of a stronger U.S. dollar.

Regarding our effective tax rate, this was 240 basis points higher in the period, mainly because of losses before taxes in certain subsidiaries, where we didn't recognize a deferred tax. So once they start to generate profit, our tax rate will improve substantially. We were also affected by higher inflationary effects from the monetary financial position in Mexico and a higher tax rate in some countries particularly affected by earnings growth in the U.S. As you know, following the end of the period, we successfully issue a 10-year MXN 10 billion local bond at an 8.18 fixed rate. Deposits were used to prepay approximately MXN 7.5 billion of debt, including the local Mexican bonds Bimbo 12 due August 2018 and made a partial prepayment of a committed long-term revolving credit facility due October 2020. The remainder was allocated for part of the East Balt Bakeries acquisition that was concluded last week.

Given the timing of this issuance, let me dive a bit deeper into the balance sheet condition. Our debt increased from USD 4.1 billion at September 30 to USD 4.3 billion, of which 11% was short term. But given the successful local bond issuance, the short-term portion decreased substantially to 3%. The total of our debt was also improved. We were able to extend the duration from 7.8 years at the end of the quarter to 8.4 years currently.

Finally, another important effect from the issuance of the local bond is that the Mexican peso portion moved from 19% to 26%, which is more in line with our cash flow generation. As for the closure of the East Balt acquisition, we funded the transaction with a committed long-term revolving credit facility due 2021, of which $293 million was in U.S. dollars and the rest in Mexican pesos. And as I just mentioned, we also used part of the resources obtained from the recent Bimbo 17 local bond. This strategy preserves the company's financial flexibility and healthy grade profile. And while we feel comfortable with our current position, we will continue to analyze opportunities going forward.

Now looking at the free cash flow, which is a key measure of financial health. We ensure to meet not just our relations, but also to invest in our value-creating project. Free cash flow in the period was [indiscernible], debt service, taxes, working capital and CapEx, excluding acquisitions, totaled MXN 5.1 billion. CapEx for the period was USD 440 million, of which 2/3 was for manufacturing, mainly focused to increase our production efficiency.
That concludes my comments this morning. At this point, we can turn you over to the Q&A session. Gary, can you help us, please?

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Question and Answer

Operator

[Operator Instructions] The first question comes from Isabella Simonato with Bank of America Merrill Lynch.

Isabella Simonato
BofA Merrill Lynch, Research Division

I have a question on -- I have 2 questions, actually, one in Mexico for good start. The top line performance has been quite strong. If you could give us a little bit more details in terms of the breakdown in terms of prices and volumes. And how do you compare yourselves with the industry performance? And after such a strong year, how -- what can we look for 2018? That would be my first question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you, Isabella. We're quite encouraged by the performance of our business in Mexico in terms of growth and market share and the strength of, basically, of all the businesses in Mexico. Volume was a little bit shy of 5%, which, I think, it's very good. And the rest is mix. So all in all, it was very good. And so far, we haven't sensed a decline of this trend. We're encouraged, but obviously, we don't know what's going to happen next year, and it might cool off a bit.

Isabella Simonato
BofA Merrill Lynch, Research Division

And my second question is regarding restructuring costs in the North America but also in Europe. When can we expect that to phase out? And if you could -- in North America, if you could give us a little bit more detail on how much that still represents of EBITDA.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Restructuring costs in North America have been decreasing as integrations have happened and the bulk of the IP conversion is on and also the major work of the -- or the easy work of determining which are the assets that we will require. But I would have to say that this is -- we don't ambition to this to be a onetime event. We're constantly looking for improvements in our world value chain. And we still have some opportunities to impact or restructure our manufacturing base. And that will affect the business ongoing. So to a lesser extent, it will happen in the coming years as well as we find opportunities to reduce our manufacturing base or to improve our business model from the one that we have right now. So it's getting to be not so relevant, but we still have some projects to improve our efficiency on the pipeline. In the case of Europe, well, as you know, we have planned for EUR 70 million on integration of Spain and Portugal this year. And we are still, I think, MXN 800 million, that's more or less roughly half of integration expenses. So the bulk will occur hopefully this quarter as we are a bit delayed due to some negotiations. But we hope that we can get through. We don't know because of all the things happening in Spain these days. But we hope to go through all the changes this quarter. So the bulk of the integration expenses will occur in our quarter 4 and maybe a bit on the first quarter of 2019 -- yes, '18, sorry.

Operator

Our next question comes from Luca Cipiccia of Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

I wanted to follow up a bit on the performance in Mexico and also how that compares to the premises in North America. I guess, we have seen very strong effective capability to offset some of the growth margin pressures in the last few quarters with SG&A efficiencies, cost efficiencies and so on so forth that

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[indiscernible] operating profitability fairly stable in spite of those headwinds. And my question is, you also referred to a number of programs and initiatives that we would be pushing through in Mexico, whether it's Zero Based Budgeting or other efforts. And I wonder, are any of these going to be rolled out more broadly across the other regions, especially in North America? Is it possible to compare your advances on some of these programs across the different markets? Is it something that you're already doing? Or I just want to get a sense whether Mexico is a little bit of a test ground. Is it more advanced than some of the other regions? Are you going to roll out some of those efforts as well elsewhere? That will be my question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, thank you, Luca. Well, obviously, this is a global problem. It's not one that's just limited to the Mexican business. We started there, and that was the pilot, and that's where we have a little bit more, I'd say, advanced progress in this matter. But it's a global program, and it's doing well in all the businesses. But it's more advanced and more developed out there at the time, at least. So that's where we are there. We're encouraged by our developments in Mexico -- I mean, the program as well.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

But do you expect some of that due to [indiscernible] some initiatives is that process inside the organization? Or are those initiative already going in parallel, just a matter of the fact that in Mexico, maybe [indiscernible] better?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Definitely. We see the savings are happening in all the regions. Mexico was the first one, and North America was the second one. But it's having a role in all the regions. As I mentioned, it's a global program, and it will impact everywhere. The issue is there are other things happening in the region as well. So it's not only Zero Based Budgeting, but we're looking at the impacting the P&L. So it's a lot of things happening. Some are more positive, some are negative.

Operator

The next question comes from Lauren Torres with UBS.

Lauren Elaine Torres
UBS Investment Bank, Research Division

My question's on North America. You noted that you're seeing some trend improvements in the third quarter versus what you experienced in the first half this year. So just curious to get your thoughts maybe by category in the U.S. where these market share gains are coming from. Is it because of new products or initiatives that you put in place where the competition has become a bit more rational? And also in Canada, you talked about positive volume gains. So I'm curious how that's developing and what's different this quarter versus the first half?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Fred, would you like to take that question?

Alfred Penny
President of Bimbo Bakeries USA Inc

Sure, absolutely. I'll take a shot at it. Good morning, Lauren. Yes, as it relates to the U.S. business, let's say, overall, we had a good quarter. I'd characterize it as we're seeing some improvement, call it, some buoyancy in the total commercial bread category, with the total category being slightly better than it's been in prior quarters. Relative to our performance, we've seen growth, experienced growth in the core bread business and even more significantly in our sweet goods category. And the sweet goods category,

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overall, as a total category, is performing fairly well. And it's really a combination of our focus on strategic brands, some innovation and then the programming that we've brought to the market.

Lauren Elaine Torres
UBS Investment Bank, Research Division

So Fred, with that said, I mean, we've talked about a lack of competitive pricing in pressure, I guess, the bread category in the U.S. So is that alleviating? Or do you feel this is more directed towards what you're doing with respect to innovation and strategic brands that's helping you?

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes. No, I'd say, from a pricing perspective, there really isn't -- there really hasn't been a change. I know it sounds like a broken record on this, but the category continues to be competitive, although, I would say, that there hasn't been anything of significance in one direction or another in terms of the overall pricing we've seen. I think it's -- my own view of it is that it's more a combination of consumers probably feeling better over time as the economy has continued to improve and be relatively solid. And I'd like to think that it's what we're doing in the marketplace with our products and our programs.

Lauren Elaine Torres
UBS Investment Bank, Research Division

Okay. And then just last follow-up on that. Based on the initiatives that you've taken, have you seen a greatest SKU of your products go into some of these, I guess, more strategic, higher-margin brands versus some of the more competitive or main Street products? Just breakdown of your mix by products, I guess.

Alfred Penny
President of Bimbo Bakeries USA Inc

Without being too specific about it, I would say that we've been experiencing, for most of this year, mix favorability. And that's a function of the focus we've put on our core, most important brands.

Operator

The next question comes from Alex Robarts with Citi.

Alexander Reid Robarts
Citigroup Inc, Research Division

I was actually keen to go over to the financial side of the business. And I had 2 questions. The first one about your debt and capital structure. Clearly, you've been making some interesting initiatives, the [10-year] issuance just now and such. But I guess, when we think about the capital structure and, specifically, this net-debt-to-EBITDA ratio, I guess, we have Bimbo now at about 2.5x. And when we think about the Mexican food and beverage companies, I mean, that's all on the high side. And I know kind of recall from the Bimbo day a while back in Mexico City, one of the ideas was to kind of work on this capital structure, kind of improve it. And so the question becomes, what is now the view about the capital structure? Is it something that you are keen to just get more toward a 2 or 1.5x? What is the target? Is equity issuance something that could be contemplated in the short term? So there was a shelf registration a few years back. So kind of first question about capital structure and leverage. The second one on the contribution expense management with the MEPPs. So this is kind of an ongoing issue. We haven't kind of heard much about it recently. Our last numbers suggest that you're paying about $130 million a year to contribution for the pension plans. How is that going? Is that going to be slowing down the growth of that? Are there some initiatives that, perhaps, you could update us with around the MEPPs as well? So those are the 2 questions.

Diego Gaxiola

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Yes, Alex, this is Diego. I will probably take your first question, and I'll let Fred answer the second one. Regarding the level of debt of the company when we have acquired a ratio of 2.7x, as you noted, but we have to consider that ratio recently [increased] because of the closing of the acquisition of East Balt Bakeries, which is now in the range of 3x. It is slightly higher a level that we're targeting, although we do not foresee any equity issuance that we see. We think with the cash flow generation that we're having with respected growth, we will start to see an important deleverage in the company. So that way, we think that soon, we're going to be below the 2.5x ratio where we feel comfortable. And Fred [indiscernible].

Alfred Penny
President of Bimbo Bakeries USA Inc

Hey, Alex, good morning. I'm going to turn the question over to Steve Mollick.

Steve Mollick

Hi, Alex. Relative to your MEPPs question, the contribution expense, it's slightly less than the 130 you mentioned, but it's in that range. As we mentioned in prior, prior calls, we participate in 30 multiemployer pension plans. The situation there is stable. I'd say that the contingent withdrawal liability is stable, and we continue to have a provision for about 50% of the contingent withdrawal liability.

Alexander Reid Robarts
Citigroup Inc, Research Division

Okay. And is there any -- I know with bakers and confectionery, you guys have been talking with the trustee and kind of trying to resolve -- I mean, is there any kind of information or update we can -- you can give us on that one?

Steve Mollick

I'm not going to comment on any one fund. But we continue to -- just like productivity and restructuring, I'll say we continue to be proactive in making sure that our ongoing operations are solid in managing our risks.

Operator

The next question comes from Pedro Leduc with JPMorgan.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Two quick ones, please. First on the comprehensive financial results, MXN 1.3 billion larger than last year's. If you could help us reconcile how much is the impact of the monetary asset position in Venezuela, depreciation of the Bolivar here, as you mentioned, because the peso was more or less stronger this year than last year. But how much of this MXN 1.3 billion is recurring and wasn't? That will be the first question.

Diego Gaxiola

This is Diego. The main effect that we have in this quarter as compared to the same quarter of last year is mainly coming from Venezuela. On the previous year, the monetary result from Venezuela, there was a profit of approximately [MXN 140 million]. And we as well had a similar amount on FX gained. And that was for the third quarter of -- for the 9 months of 2016. Now, for this period, we do not have any effect on the quarter, on the monetary result, although we do have some losses in the 9 months. And we are -- we're having a loss on the FX gained in the quarter of approximately 56 million and on the accumulated -- give me 1 second -- on the accumulated loss that we have for the 9 months, it's a little more than MXN 300 million. So mainly, the difference explained by Venezuela, it's from the range of approximately MXN 700 million.

Pedro Leduc
JP Morgan Chase & Co, Research Division

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Okay, that's very useful. You still have a laugh they're sitting there, our cash that you can [indiscernible] for the future?

Diego Gaxiola

No. No, we don't. And we're also seeing the 1st of June. We deconsolidated the operations of Venezuela. So since that month, we're not having any effects on the consolidated numbers of Grupo Bimbo. It's more last year, we did have the positive effect.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Got it. All right. And then one on the operational front. Latin America ex Mexico, they are doing substantially better on the margins side versus the deconsolidation effect. I was wondering if you're seeing improvement in Brazil or Argentina, if maybe you can see these margins closer to mid-single digits next year.

Diego Gaxiola

Yes, as we mentioned in the first part of the meeting, we are seeing a good progress in Brazil and lately also in Argentina. The economy is starting to pick up in both countries. And it's still, I would say, in the early stages. The reform areas positively affecting and foreseeable in some short-term impacts before this is implemented. So we're feeling those impacts, and we will feel them up until November. But we are hopeful that the business environment is improving in those 2 countries as more, I would say, more market policies are established in the countries. And we're also doing a good job internally on the projects that we have to, [indiscernible] and also increase our strength and our reach in those countries.

Operator

The next question comes from Luis Miranda with Santander.

Luis Miranda Valenzuela
Santander Investment Securities Inc., Research Division

Just a follow-up question in Mexico, Daniel. I just wanted to understand a little bit better in terms of the growth that you have posting in Mexico, which has been very healthy, what's the relevance of all these projects that you have been developing in the last years in terms of all the innovation, the packaging, the recycling, the reformulation? If, currently, they have been -- they are helping, how much they are helping this growth that we're seeing?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, I can say that it's a mixed bag of a lot of actions that we're taking. So on the growth side, innovation place, it's part, but it's not the only thing. We have been also, I would say, becoming more professional in the way we share the modern freight in other regions in other accounts. And we are also still within a good growth on the traditional side of the business on the mom-and-pop channel. So all in all, it's sales and marketing efforts that are basically fueling the growth that we have right now.

Operator

The next question comes from Mauricio Santos with GBM.

Mauricio Martinez

A few questions. What would be your strategic priorities going forward? Should we expect further M&A? Or should we expect Bimbo to enter a consolidation phase? And would you prioritize a private label to run the business? That will be the first one. The second one will be, how far are you in the integration or turnaround of the Canada operations? I believe that these are profit dragging margin expansion in the region. And the last question will be, your tax rate is consistently very high. What are the reasons behind it? And when do you expect it to come down?

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Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Okay, on the first 2, I mean, I feel it's more a binary question. I would say that the bulk of our several projects in terms of M&A have occurred, and obviously look at the abilities that arise, and we might take some. But the bulk of our work has to be more internal in terms of taking advantage of the different opportunities that have occurred as a result of M&A. And that's mainly Bimbo QSR on one end; the Panrico acquisition that is now, basically, closely happening; and the new markets, most notably India, which would also the important, the one plant. And I mean, our business is -- we're really trying to cater to the needs of our customers in every segment and in every channel. In that sense we're fully trying to be fully and economic channel company. So we can take advantage of our facilities and look for opportunities in serving full service customers or QSR customers, even our private label needs of our customers in the different markets. But first and foremost, we're a branded company, and that's where we have been devoting most of our resources. The other question was on the restructuring side. I would tell you that Canada is the business [indiscernible], it's, I would say, to a large extent, been integrated and rationalized. As I've said before, that we always continue to look at opportunities. But the bulk of the integration has happened. What I would say, it's still in the works, and that's the part that we mentioned in the press release, in the speeches, that the frozen aspect of the business, we are redesigning it, and we're retooling it. And that's a piece of the business that we'll continue to look a greater detail to understand how we could take it to the next stage. But that's the business, the focus, the Canadian part and the U.S. part as well.

Diego Gaxiola

Hi, Mauricio. This is Diego. You're right, we're having a high effective tax rate, very close to 45%. I think the 3 main issues that explain at least 80% of the difference between 30% statutory tax rate in Mexico versus the almost 45% effective tax rate, I would say that the biggest effect that we have today is the losses before taxes that we have in some operations, that from a conservative standpoint, we're not generating any deferred taxes in these losses. So as I mentioned, for the future, once we start to see profit generated from these operations, we will see a very important shield on the effective tax rate. The second effect is on the structural effect on the way taxes work in Mexico, where if you do have a gain from a monetary position, you have to pay taxes, although, financially, we could not recognize a gain. And because inflation in Mexico has spiked compared to the previous year, we're having more pressure on this specific issue. And finally, I would say that the mix of tax rates, mainly because of the U.S. that has a higher tax rate in Mexico and because of the very good performance that the U.S. is having, it has a higher weight on the profits of Grupo Bimbo, and this is also putting some additional pressure to the consolidated effective tax rate. So these 3 effects are there. I think that, on the first one, that is a most relevant one. For the long term, we feel as I said a bit more optimistic that this will not only disappear but we will start to work on the other way. Now, for the full year, we believe that it's going to be more or less at the same level because we are not necessarily seeing a big change in these 3 factors. And finally, let me explain the difference between this year and the previous one. The biggest effect on these 240 basis points increase, as I mentioned in the script, the first one is because of the higher inflation in Mexico. The second one is because of higher profits from the U.S. and, in a lower extent, the effect of the losses from some operations.

Mauricio Martinez

Okay, Diego. And I guess, this situation is going to shape for all the, let's say, it's the LatAm operations and the European operations, I guess. Is that correct?

Diego Gaxiola

Yes, that's correct.

Operator

This concludes the question-and-answer session. At this time I would like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

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Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you all for your time today. And as always, please do not hesitate to contact us with any further comments or questions you may have. All right. Thank you.

Operator
Thank you. This concludes today's presentation. You may disconnect your lines at this time, and have a nice day.

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